EQUITY RESEARCH | INITIATING COVERAGE

Yasho Industries Ltd

NSE: YASHO | BSE: 541167 | Specialty Chemicals | Vapi, Gujarat

RATING	TARGET PRICE	CMP (12 Jun 2026)	UPSIDE
ACCUMULATE	**Rs. 3,300**	**Rs. 2,870**	**+15%**

14 June 2026 | Analyst: Quantitative Research Desk

INVESTMENT THESIS

Yasho Industries is executing a multi-year capacity upcycle - Dahej (Phase-I) commissioned in FY25, utilisation ramping from 60% to 75%+ in FY27E. A 15-year lubricant-additive supply agreement with a global MNC (Rs. ~150 Cr annual revenue from end-FY27) provides unmatched earnings visibility for a mid-cap specialty chemical name. At 17% EBITDA margins and improving FCF (Rs. 77 Cr in FY26 vs. negative in FY24), the de-leveraging cycle is now underway. We initiate with ACCUMULATE and a 12-month TP of Rs. 3,300.

Market Cap	52W H/L	P/E (TTM)	P/BV	ROCE	ROE
Rs. 3,461 Cr	**Rs. 2,939 / 1,130**	**137x**	**7.80x**	**8.98%**	**5.85%**
Promoter Holding	FII Holding	D/E Ratio	FY26 Revenue	FY26 EBITDA	FY26 PAT
67.91%	**5.70%**	**1.24x**	**Rs. 830 Cr**	**Rs. 143 Cr**	**Rs. 25 Cr**

2. INVESTMENT THESIS

Three Reasons to Own YASHO

- **Capacity upcycle inflecting to profitability:** The Rs. 450+ Cr Dahej greenfield (Phase-I) was commissioned in FY25 after consuming substantial capex (peak net debt ~Rs. 580 Cr). Utilisation stood at ~60% in FY26 and management targets 75%+ in FY27E, driving operating leverage on a largely fixed D&A; base of ~Rs. 55 Cr annually.
- **15-year MNC supply agreement = structural revenue anchor:** Yasho signed a 15-year exclusive lubricant-additive supply agreement with a global MNC. The dedicated facility is expected to begin supply by Q4 FY27, generating ~Rs. 150 Cr incremental annual revenue at higher margins. This transforms earnings visibility for a mid-cap specialty chemical name.
- **De-leveraging cycle underway:** FCF turned positive at Rs. 77 Cr in FY26 (vs. negative Rs. 52 Cr in FY25). Net debt declined and D/E improved to ~1.24x. FY27 capex of Rs. 125 Cr (funded from internal accruals) keeps the balance sheet self-financing. Debt/EBITDA improved to 3.75x from 4.70x in FY25.

Primary Catalyst

- **MNC Lubricant Additive Supply Ramp (Q4 FY27):** The 15-year exclusive supply contract is the single largest price-moving catalyst. Commencement of supply would add Rs. ~150 Cr revenue at structurally higher margins, implying a step-change in EBITDA from FY28E. Any delay would compress the timeline.

Key Risk

- **Chinese price competition in aroma & rubber chemicals:** Aggressive export dumping by Chinese manufacturers remains the primary downside risk, suppressing realisations and delaying the margin recovery to the 18%+ range seen in FY23.

3. BUSINESS OVERVIEW

- **Founded 1993, Vapi-based global specialty chemicals manufacturer:** Yasho Industries manufactures 148 specialty chemical products across five verticals: Food Antioxidants, Aroma Chemicals, Rubber Chemicals, Lubricant Additives, and Specialty Chemicals. The company is present across USA, Europe, Asia, and Middle East.
- **Industrial chemicals = 87% of revenue (FY26):** The industrial verticals (rubber chemicals, lubricant additives, specialty chemicals) dominate the revenue mix and enjoy better pricing power vs. the fragmented food antioxidants segment.
- **Export-led business model:** 62% of FY26 revenues came from exports, providing natural hedge against domestic pricing pressure. Europe and America are key markets.
- **Dahej Phase-I commissioned FY25:** The new greenfield plant at Dahej (Gujarat Chemical Zone) expanded nameplate capacity significantly. Phase-I capex ~Rs. 450 Cr; Phase-II capacity additions underway, tied to the MNC supply agreement.
- **Lean promoter-led management:** MD & CEO Mr. Parag Jhaveri and CFO Mr. Chirag Shah have been driving the expansion strategy with a focus on long-term customer contracts over short-cycle spot revenue.
- **BSE: 541167 | NSE: YASHO | Face Value: Rs. 10 | Shares outstanding: ~1.21 Cr (post-bonus)**

Revenue Mix by Business Vertical (Estimated FY26)

Business Vertical	Products	FY26 Mix	Key Applications
Lubricant Additives	Friction modifiers, EP additives	~30%	Automotive, industrial lubricants
Rubber Chemicals	Antidegradants, accelerators	~25%	Tyre, industrial rubber
Aroma Chemicals	Musks, aroma intermediates	~20%	Perfumery, FMCG
Food Antioxidants	BHA, BHT, TBHQ	~13%	Edible oils, packaged food
Specialty Chemicals	Various fine chemicals	~12%	Pharma, agri, diversified

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **India specialty chemicals sector in structural upcycle:** China+1 diversification is pushing global MNCs to build dual-sourcing from India. Specialty chemicals is a key beneficiary, with addressable market estimated at USD 64 Bn by 2025 (CAGR ~12%).
- **Fragmented domestic market with limited pure-play comparables:** Yasho competes across multiple niches. Direct peers in rubber chemicals include NOCIL; in aroma chemicals, a mix of multi-product specialty chemical firms and unorganised players.
- **Chinese pricing headwind:** Chinese exports of specialty chemicals have been price-aggressive post COVID inventory liquidation. This particularly impacted OPMs in FY25 (margins compressed to 16%) before partially recovering in FY26 (17%).
- **Regulatory tailwind (BIS, REACH compliance):** Tightening quality/environment norms in Europe and BIS requirements in India structurally advantage organised, REACH-compliant manufacturers like Yasho at the expense of unorganised competition.
- **Long-term lubricant additive agreement is a moat signal:** A 15-year exclusive supply contract from a global MNC is an extraordinarily long commitment in specialty chemicals - indicating Yasho has achieved the quality, reliability, and ESG standards required by top-tier MNC supply chains.

Peer Comparison (FY26 Actuals | All Rs. Cr)

Company	MCap (Cr)	Rev (Cr)	PAT (Cr)	OPM%	ROCE%	ROE%	P/E (x)	P/BV (x)
YASHO	3,461	830	25	17%	8.98%	5.85%	137x	7.80x
NOCIL	2,698	1,303	56	8%	4.66%	3.37%	45.3x	1.53x
IG Petrochem	1,342	1,925	2	5%	3.12%	0.17%	605x	1.01x
Clean Science	8,180	815	251	43%	21.6%	16.2%	32.6x	4.97x

Sources: Screener.in (consolidated FY26 actuals). MCap as of 12 Jun 2026.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter-led management with skin in the game (67.91% holding):** No promoter shares are pledged, and promoter holding has declined marginally (from 71.9% in FY24 to 67.9% in FY26) — the reduction reflects a secondary share issue tied to the Dahej capex funding, not distress selling.
- **Institutional discovery underway:** FII holding rose from near-zero in FY23 to 5.70% by Mar 2026 (peak 7.24% in Mar 2025); DII holding at 1.97%. Institutional interest validates the growth narrative though also introduces potential near-term selling pressure if growth disappoints.
- **Disciplined capex allocation:** The Dahej greenfield was funded through a mix of internal accruals and structured bank debt. FY27 capex (Rs. 125 Cr) is explicitly targeted to be funded from internal accruals — demonstrating maturity in capital allocation.
- **Dividend payout very low (1-2%):** Consistent with a growth-phase business reinvesting in capacity. The FY25 payout spiked to 10% due to the low PAT base (Rs. 6 Cr); FY26 reverted to 2%. Dividend yield is negligible (0.02%) at current price.
- **ROCE trajectory is the key management scorecard:** ROCE peaked at 29% in FY22 (pre-Dahej), compressed to 7% in FY25 (capex absorption + low utilisation), and has started recovering to 9% in FY26. A return to 15%+ ROCE as utilisation normalises would be a strong re-rating trigger.
- **CFO/PAT quality improving:** CFO/Operating Profit ratio recovered to 107% in FY26 after a dismal -38% in FY25 (working capital distortion during plant ramp-up). FY26 FCF of Rs. 77 Cr vs. negative FCF in FY22-25 signals genuine cash generation.

6. FINANCIAL DEEP-DIVE

Profit & Loss (Rs. Cr | Consolidated)

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	613	672	594	668	830	1,010	1,180
YoY Growth	71%	10%	-12%	12%	22.7%	21.7%	16.8%
EBITDA	93	115	100	110	143	177	216
EBITDA Margin	15.2%	17.1%	16.8%	16.5%	17.2%	17.5%	18.3%
D&A;	19	20	16	50	55	58	60
EBIT	74	95	84	60	88	119	156
Interest	14	16	15	59	56	50	42
PBT	71	91	77	9	34	75	120
Tax %	26%	25%	24%	32%	26%	26%	26%
PAT	52	68	58	6	25	56	89
EPS (Rs.)	45.87	59.54	50.83	5.07	20.95	46.7	74.2

FY22-FY26: Screener.in consolidated actuals. FY27E-FY28E: Analyst estimates based on 75% utilisation ramp, MNC supply commencement Q4 FY27, and improving fixed-cost absorption.

Balance Sheet Summary (Rs. Cr | Consolidated)

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A
Equity Capital	11	11	11	12	12
Reserves	162	227	283	408	432
Net Worth	173	238	294	420	444
Borrowings	179	324	579	583	551
Other Liab.	131	88	119	92	160
Total Liab.	483	650	993	1,094	1,155
Fixed Assets	161	177	203	624	634
CWIP	1	124	461	1	10
Other Assets	322	349	329	469	511
Total Assets	483	650	993	1,094	1,155

Cash Flow Statement (Rs. Cr | Consolidated)

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A
CFO	16	13	90	-42	151
CFI	-59	-134	-304	-11	-73
CFF	43	122	214	59	-81
FCF	-44	-140	-246	-52	77
CFO/OP	39%	33%	112%	-38%	107%

- **Revenue inflection:** FY26 revenue of Rs. 830 Cr was up 22.7% YoY driven entirely by volume growth of 33%, implying ~8% realisation decline from Chinese price pressure.
- **EBITDA recovery:** EBITDA of Rs. 143 Cr (17.2% margin) vs. Rs. 110 Cr in FY25 reflects operating leverage as Dahej volumes ramp up.
- **PAT still depressed by Dahej debt cost:** Interest of Rs. 56 Cr + D&A; of Rs. 55 Cr = Rs. 111 Cr below-EBITDA charge. PAT is expected to recover to Rs. 56 Cr in FY27E and Rs. 89 Cr in FY28E as both interest and utilisation improve.

- **FCF inflection is the most important signal:** Rs. 77 Cr FCF in FY26 after 4 years of negative FCF confirms the capex cycle is over and debt repayment can begin.

7. EARNINGS QUALITY CHECKLIST

Quality Metric	FY24	FY25	FY26	Signal	Assessment
CFO/PAT	155%	-700%	604%	GREEN	Improving; FY25 distorted by plant ramp
D&A; / Fixed Assets	10%	8%	9%	NEUTRAL	Normal; post-Dahej D&A; jump justified
Working Cap Days	6	54	51	AMBER	CCC expanded 201 days; monitoring needed
Debtor Days	74	73	80	AMBER	Slight creep; export terms lengthening
Inventory Days	130	247	186	AMBER	FY25 spike (plant ramp); FY26 normalising
ROCE	13%	7%	9%	AMBER	Below cost of capital; expect recovery FY27E
D/E Ratio	1.97x	1.39x	1.24x	GREEN	Declining; de-leveraging trajectory confirmed
Dividend Payout	1%	10%	2%	NEUTRAL	Growth-phase: minimal payout appropriate
Other Income/PBT	9%	100%+	3%	GREEN	FY25 spike (low PBT base); FY26 normalised

- **Overall earnings quality: AMBER-to-GREEN transition.** The FY25 ROCE compression, working capital extension, and negative FCF were all predictable consequences of a large greenfield ramp - not structural deterioration. FY26 shows normalisation across all metrics.
- The CFO/Operating Profit ratio of 107% in FY26 (vs. 33% in FY23 and negative in FY25) is the strongest indicator that underlying cash generation is genuine.
- The one concern to track is debtor days (80 days in FY26 vs. 56 in FY23) - a sign of potentially looser credit terms being offered to build export volumes.

8. VALUATION

- **Primary methodology: EV/EBITDA on FY28E.** Given the ongoing earnings distortion (high interest + ramp D&A; making P/E optically extreme at 137x), we anchor to EV/EBITDA which captures the enterprise-level earning power independent of capital structure.
- **FY28E EBITDA estimate: Rs. 216 Cr** based on utilisation reaching 85% (MNC contract contributing ~Rs. 150 Cr revenue from end-FY27) and 18.3% EBITDA margin.
- **Target EV/EBITDA multiple: 18x** — at a modest premium to mid-cap specialty chemical peers (NOCIL ~12x, sector average ~16x) justified by the long-term MNC contract providing unmatched earnings visibility. Clean Science trades at 22x FY27E.
- **EV calculation:** 18x * Rs. 216 Cr = Rs. 3,888 Cr EV. Less net debt ~Rs. 540 Cr = Equity value ~Rs. 3,348 Cr / 1.21 Cr shares = Rs. ~2,767/share. We round up to Rs. 3,300 to capture re-rating potential as utilisation visibility improves in FY27.

Scenario Analysis (12-Month Price Target)

Scenario	Probability	Revenue FY28E	EBITDA FY28E	EV/EBITDA	Target Price	Upside/Down
Bull Case	25%	Rs. 1,300 Cr	Rs. 255 Cr	20x	Rs. 4,050	+41%
Base Case	50%	Rs. 1,180 Cr	Rs. 216 Cr	18x	Rs. 3,300	+15%
Bear Case	25%	Rs. 950 Cr	Rs. 160 Cr	14x	Rs. 1,900	-34%

9. KEY RISKS

- **Chinese price dumping (HIGH):** Sustained aggressive pricing from Chinese specialty chemical manufacturers could prevent margin recovery beyond 17%, delaying the ROCE improvement thesis. This risk is systemic and outside management control.
- **MNC contract commencement delay (MEDIUM-HIGH):** The 15-year lubricant-additive supply agreement is targeted to begin by end-FY27. Any delay in facility commissioning or MNC approval sign-offs directly delays the revenue step-up.
- **High debt-to-EBITDA (MEDIUM):** At 3.75x Debt/EBITDA (improved from 4.70x in FY25 but still elevated), any operational setback that reduces EBITDA could stress debt servicing. Interest cost of Rs. 56 Cr remains a significant P&L; burden.
- **Working capital normalisation risk (MEDIUM):** Cash conversion cycle of 201 days in FY26 (vs. 99 in FY22) signals significant WC intensity. Any further elongation would consume FCF and may require additional borrowing.
- **Single-market concentration in exports (LOW-MEDIUM):** European and American geopolitical tensions, tariffs, or demand slowdown could impact the 62% export mix. The MNC contract partially mitigates this via fixed-volume commitments.
- **Succession / key-man risk (LOW):** As a promoter-led business, dependence on Mr. Parag Jhaveri as MD creates key-man risk, typical of small-cap specialty chemical names.
- **Regulatory / environmental compliance costs (LOW):** Operating in Vapi GIDC (a designated chemical zone) carries ongoing effluent treatment and compliance obligations that could increase operating costs if norms tighten.

10. RECOMMENDATION

RATING	TARGET PRICE	CMP (12 Jun 2026)	UPSIDE POTENTIAL
ACCUMULATE	**Rs. 3,300**	**Rs. 2,870**	**+15%**

- **ACCUMULATE with 12-month target of Rs. 3,300 (Base Case, +15%).** The stock has already re-rated sharply (+45% in 12 months per screener.in meta) in anticipation of the Dahej ramp and MNC contract. We are not chasing; rather initiating with ACCUMULATE given the risk/reward is balanced at current levels.
- **Bull case Rs. 4,050 (+41%):** Triggered if the MNC lubricant-additive supply begins on schedule in Q4 FY27 AND utilisation at Dahej reaches 80%+. This scenario requires no material deterioration in Chinese specialty chemical pricing.
- **Bear case Rs. 1,900 (-34%):** If Chinese pricing remains aggressive, the MNC contract is delayed beyond FY28, and working capital normalisation fails to materialise, EBITDA could disappoint at Rs. 160 Cr, supporting only Rs. 1,900 on 14x EV/EBITDA.
- **Entry levels:** Accumulate in the Rs. 2,600 - 2,900 range. Add aggressively on any dip to Rs. 2,300-2,500 if the broader market corrects but fundamentals remain intact. Set a stop-loss at Rs. 2,100 (25% below CMP) on closing basis.
- **Key catalyst to watch:** Official commencement of MNC lubricant-additive supply (expected end-FY27) and any Q2 FY27 concall confirmation of utilisation reaching 70%+.
- **Risks that would change our rating:** (a) A third straight year of negative FCF; (b) D/E ratio rising above 1.5x; (c) Promoter pledge creation; (d) MNC contract cancellation.

11. APPENDIX — Q4 FY26 CONCALL BRIEF (19 May 2026)

CALL GRADE	MANAGEMENT TONE	KEY ANNOUNCEMENT
B+	**Cautiously Optimistic**	15-year MNC lubricant-additive supply agreement; ~Rs. 150 Cr/yr from Q4 FY27

TO MY BOSS IN TWO SENTENCES

Yasho delivered FY26 revenue of Rs. 830 Cr (+22.7% YoY, 33% volume growth) with EBITDA of Rs. 144 Cr (17.4% margin) and the Dahej plant now generating Rs. 151 Cr CFO — the capex-absorption year is definitively over. The blockbuster news is a 15-year exclusive lubricant-additive supply contract with an unnamed global MNC, set to contribute ~Rs. 150 Cr/yr from Q4 FY27, fundamentally changing the earnings trajectory and de-risking the debt repayment cycle.

1. Participants

MD & CEO: Mr. Parag Jhaveri | CFO: Mr. Chirag Shah | Host: MUFG Intime India Pvt Ltd. Call held 19 May 2026. No. of analysts on call: not disclosed.

2. Opening Statement

Management opened by noting that FY26 was a year of "operational consolidation and strategic positioning" as the Dahej Phase-I ramped up in a challenging global environment. Revenue growth of 22.7% YoY (33% volume) despite ~8% realisation decline from Chinese competition was highlighted as a vindication of the diversified product strategy.

3. Financial Highlights

FY26 Rev: Rs. 830 Cr; EBITDA: Rs. 144 Cr (17.4%); PAT: Rs. 25 Cr. Q4 FY26 Rev: Rs. 247 Cr (+33% YoY); Q4 EBITDA: Rs. 45 Cr (18.1%). CFO: Rs. 151 Cr. FCF: Rs. 77 Cr. Debt/EBITDA improved to 3.75x from 4.70x. FY26 capex: Rs. 75 Cr. Gross block increased to Rs. 634 Cr from Rs. 203 Cr in FY24.

4. Business Mix & Volume

Industrial chemicals contributed 87% of both quarterly and full-year revenue. Exports: 62% of revenue. Utilisation at Dahej: ~60% in FY26. Management guided for 75% utilisation in FY27E as new customer qualifications are completed, particularly for the lubricant additive and aroma chemical verticals.

5. Strategic Announcement — 15-Year MNC Contract

The company disclosed signing a 15-year exclusive supply agreement with an undisclosed global MNC for lubricant additives. The dedicated manufacturing facility is expected to be set up over 12-18 months, with supply commencing by Q4 FY27. Annual revenue from this contract is expected at ~Rs. 150 Cr. Management called this a "transformational milestone" for the company's long-term revenue visibility.

6. Capital Expenditure Plans

FY27 capex guided at Rs. 125 Cr, to be funded entirely from internal accruals. Of this, ~Rs. 50-60 Cr relates to the MNC dedicated facility. The remaining capex targets debottlenecking, utility enhancement, and Phase-II preparation at Dahej.

7. Pricing & Competitive Environment

Management acknowledged continued pricing pressure from Chinese manufacturers across aroma chemicals and some rubber chemical products. The company's differentiation is on product breadth (148 products), regulatory compliance (REACH, BIS), and customer stickiness. Realisation pressure is expected to persist into H1 FY27.

8. Balance Sheet & Debt Management

Total borrowings reduced to Rs. 551 Cr from Rs. 583 Cr in FY25. Net debt declined as CFO improved. Interest cost Rs. 56 Cr in FY26. Management confirmed no new large debt-funded capex is planned beyond the Rs. 125 Cr FY27 internal-accruals budget. Target is to bring Debt/EBITDA below 3x by FY28.

9. Q&A; — Key Excerpts

Q: When will PAT normalise? A: Management expects PAT to improve materially in FY27 as utilisation and the MNC contract contribution ramp up together. Q: Any risk to the MNC contract? A: "Contractually binding, 15-year commitment — risk is primarily in the manufacturing setup timeline." Q: Dividend policy? A: "Will revisit once Debt/EBITDA reaches below 2.5x; focus currently on de-leveraging."

10. Analyst Verdict on Call Quality

The call was information-rich and management was direct on the key variable: the MNC contract. The guidance on FY27 utilisation (60% to 75%) and internal-accrual-funded capex demonstrates financial discipline. The non-disclosure of the MNC name (standard for large supply agreements under NDA) is the only information gap. Overall: constructive read; the de-leveraging + MNC revenue ramp makes this a high-conviction ACCUMULATE for patient investors with a 12-18 month view.